

TVS Motor Company Ltd

TVSMOTOR · Consumer Discretionary / Two Wheelers

ROE

26.22%

ROCE

14.12%

Net Profit Margin

4.54%

D/E

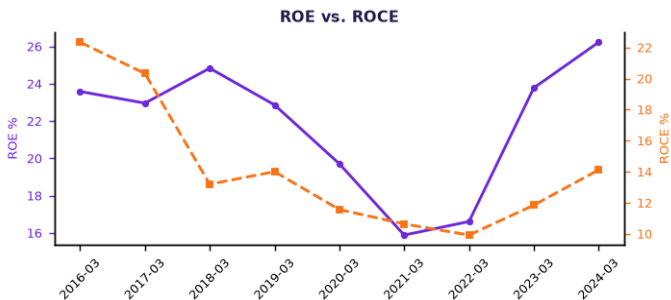
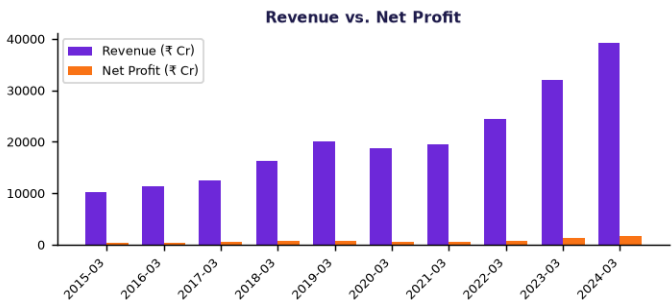
3.83

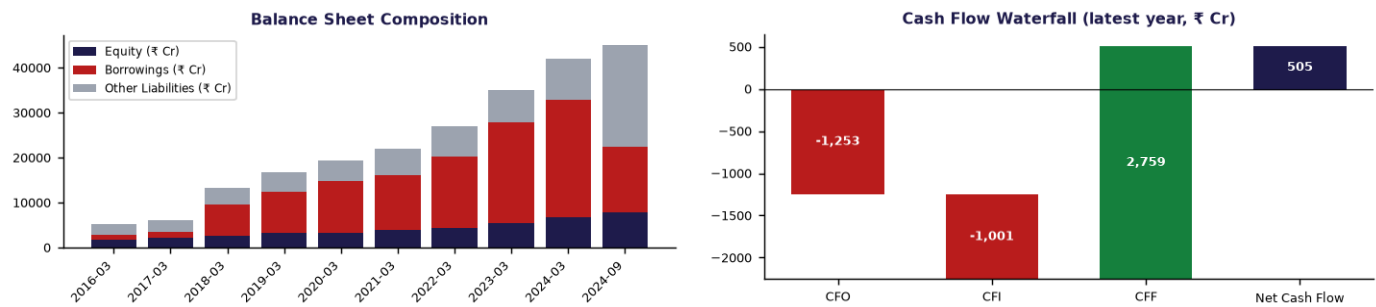
Revenue CAGR 5yr

14.19%

FCF (Rs. Cr)

-2,254





Pros

- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality (98% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (82% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (71% confidence)

Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality (80% confidence)

Capital Allocation Pattern: **Growth Funded by Debt**